CATERPILLAR®

BEST PRACTICE SERIES

MARC Financial Audit Procedure

Application | Maintenance | Site Management | Component Rebuild | Component Life Management | Safety | **MARC Management**

CAT®
Global Mining

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1.0 Introduction

An audit is a formal examination, correction, and endorsing of financial accounts, specifically those of a mining dealer, usually untaken by an accountant. In relation to audits of MARC contracts this usually covers 5 main objectives:
1. To verify historical contract revenues and costs are directly related to the signed customer contract, including amendments.
2. To verify revenues and costs projections are reasonable, based upon past performance.
3. To verify contract end profitability is calculated upon accurate revenues, cost of sales, and direct expenses.
4. To verify acceptable cost calculations are being used ("cost at cost") for parts, on-site labor, rebuild center labor, and 3rd party costs.
5. In conjunction with the Mining Contract Technical Audit Procedure, use to determine amount of Caterpillar/dealer settlements.

2.0 Best Practice Description

2.1 Timing:
Recommended audit schedule is at:
1. The mid-point of the contract,
2. Upon completion (before settlement), and
3. On an as-needed basis if results are extremely unfavorable.

2.2 Audit Materials:
Material available for review and audit should be:
1. Original contract budget in Calculator (or an Accounting Template format)
2. Complete Analyzer files (and/or Accounting Template format spreadsheets)
3. Copy of the complete contract with addendums
4. Recent monthly site reports (including technical information)
5. Recent application severity (ASA) reports
6. If availability information is not kept within Analyzer, recent availability reports
7. Process/accounting map of how parts and rebuilt/exchange components are charged to the contract (from dealer net to contract charge)
8. Organization charts of on-site and dealer contracts department personnel
9. Recent VIMS summary reports
10. On-site parts statistics: inventory dollars, inventory turns, fill percentage, spoilage and obsolescence, copies of recent parts inventory audits
11. HME2003 contracts only - Cost and availability reconciliations.
12. HME2003 contracts only - Signed enrollment forms with budget.
13. Process flow chart of contract currency transactions.

2.2.1 Internal Controls

General Dealer Administration Practices / Philosophies
1. Organization structure
2. Personnel performance incentives
3. Customer practices (i.e. customer meetings, overloading, documentation).

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4. Reliance on Analyzer, Calculator, Builder, Manager

General Contract Administration Practices / Philosophies
1. Contract background information
2. Review initial budget/plan
    - Basis for parts pricing, labor costs (manpower), and miscellaneous
    - Component life / costs estimates
    - Service hour estimates for R&I, D&A, other labor items
    - Budgeted direct costs (as %, or detailed line items)
    - Dealer gross margin for parts/labor, and final projected PAD
    - Determine if original budget balanced

2.2.2 Testing of Transactions

Review/Validate Revenues / Invoices
- Review actual customer invoices for comparison to "Invoiced Amount"
- Ensure all of machine serial numbers in contract are invoiced.
- Review escalation calculations – customer summaries, comparison to inflation factors/indices
- Review machine hours, contract rate, escalation factors, and bill dates to verify match to actual invoices.
- Verify separation of responsibilities between invoice calculation, billing, receipt, recording, and deposit
- Check for additional invoices for customer penalties
- HME2003 contracts only - Verify parts charged to all periods were attached to enrolled machine only.
- If the customer agreement contains a minimum usage / billing clause then review actual hours billed to contract for compliance.
- Verify goodwill benefits are applied consistently to financial contract activity.
- Verify contract margin is not affected by currency translation gains or losses.

3.0 Implementation Steps

4.0 Benefits

Due to the complicated nature of mining contracts along with the risk of financial exposure a rigorous audit procedure must be followed in order to minimize Caterpillars exposure to non-contract expenditures.

5.0 Resources Required

The resources needed for an audit requires labor and travel costs. On site audits are usually is done by the MARC accountant, regional MARC consultant, the MARC Manager and any other SME needed fulfill knowledge requirements

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6.0 Supporting Attachments

None applicable.

7.0 Related Best Practices

None applicable.

8.0 Acknowledgments

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